

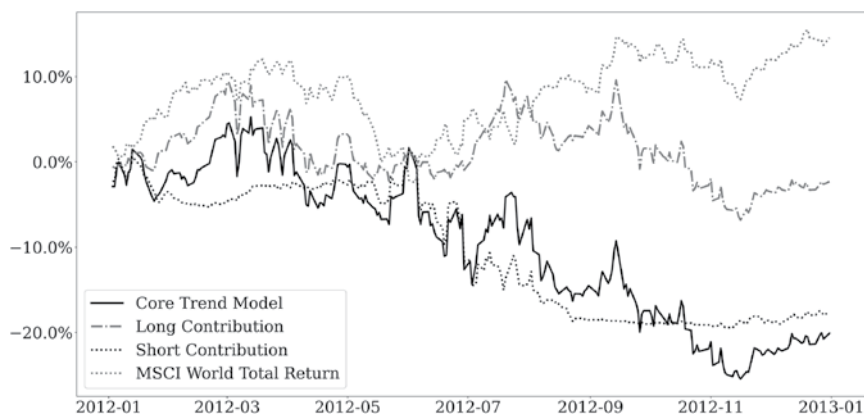


FIGURE 6.63 Strategy performance 2012.

venture was in January 2002, for the only reason that I wanted to cover twenty years of performance. But imagine if you just got your initial US\$10 million and started trading at the beginning of 2012. Your very first year, starting with a 20% loss. Now that can be a career killer. Even if your trading strategy is absolutely sound and likely to produce strong results in the long run, the entry timing and the luck that this entails can be the one deciding factor over your career and your business.

If you at any point so far in this chapter wondered why we don't just dial the risk factor up, and cash in on huge returns, that should hopefully be very clear now. If you got lucky and had ten great years to start off with, then sure, having twice the risk on would have made you a ton of money. But what if you get an initial bad year? Or three of them?

This was a year where everything went wrong. There was no big single disaster, no single sector or position that blew up in our faces. It was just a slow bleed, across everything (Figures 6.64 and 6.65). For a while, the equity markets cushioned the blow somewhat, but that didn't last. We lost on both the long side and the short, though more on the short side (Figure 6.66). The commodity sector was particularly painful, and nothing really helped in the end.

A year like this can easily kill not only your business but your confidence in your trading model and in yourself. It's not easy to continue to execute trade after trade, when you see how they all end up losing money. The risk is that sooner or later, you decide to skip a trade, or a few trades. Perhaps those were the trades which would have rescued you. There just isn't any way of knowing in advance which trades will pay off and which will not.